PRODUCT TEARDOWN

Groww

The free lunch problem

May 2026

THE SETUP

40M+ users built on zero brokerage - Groww won India's investing market by making the product free for users who generate almost no revenue

Groww became India's largest retail investment platform not by being the most sophisticated product, but by removing the advisor conflict-of-interest and making mutual fund investing completely free. The scale is real. The monetization question is harder.

40M+
Registered users as of 2024 - largest by mutual fund active folios

₹0
Brokerage on direct mutual funds - the feature that built Groww's user base

₹20
Flat fee per F&O / intraday order - the main brokerage revenue source

$3B
Valuation at Series E (2022) - one of India's fastest-growing fintech unicorns

BUSINESS MODEL

Groww makes almost nothing from its most loyal users - mutual fund investors pay zero while F&O traders generate all the brokerage

DIRECT MUTUAL FUNDS - ZERO BROKERAGE

₹0 commission on direct plans - the founding promise

Groww earns trail commission from AMCs (typically 0.1-0.5% of AUM annually) on regular plans, but charges nothing to investors buying direct plans. This built the user base but created a monetization ceiling: trail commissions are small, slow to accumulate, and capped by AUM growth.

GOLD, US STOCKS, FIXED DEPOSITS

Horizontal expansion products with minimal incremental revenue

Digital gold has no transaction fee. US stocks are accessible via LRS route with a small fee. FDs are partner-based with referral economics. These products expand wallet share and retention but do not materially solve the monetization equation.

F&O AND EQUITY TRADING - THE REVENUE ENGINE

₹20 flat per executed order for intraday and F&O trades

This is where Groww makes real brokerage revenue. High-frequency F&O traders generate dozens of orders per day, each billing ₹20. A trader doing 50 orders/day generates ₹1,000/day - more than a mutual fund SIP investor generates in a year of trail commission.

THE STRUCTURAL MISMATCH

The users who made Groww famous are not the users who make Groww money

Groww's brand is built on first-time, young, SIP investors. These users do 1-2 transactions per month at zero brokerage. Revenue-generating F&O traders are a small minority - and SEBI's 2024 regulations on F&O made even that smaller.

ACT 01

The Win

01

THE FLYWHEEL

Groww didn't just launch an investing app - it eliminated the single biggest reason working Indians didn't invest

Before Groww, mutual funds were sold by distributors and agents who earned front-end commissions on regular plans - a structural conflict of interest that made investors distrust the process. Groww removed the middleman, went direct, and made it free. That one decision built 40M users.

THE TRUST UNLOCK

Direct plans with zero commission removed the advisor conflict-of-interest

Regular plan commissions (typically 0.5-1.5% front-end) meant advisors had incentive to recommend higher-commission funds, not better-performing ones. Groww's zero-commission direct plan model made the platform's interests align with the investor's - a radical departure from how mutual funds were sold in India before 2016.

THE UX SIMPLIFICATION

KYC in minutes, SIP in 3 taps - designed for first-time investors who found banking apps overwhelming

Legacy mutual fund platforms required physical documentation, branch visits, and multiple verification steps. Groww compressed this to a fully digital KYC flow. The UI was deliberately sparse - categories, performance charts, SIP amounts. No jargon. No complex screeners to confuse a beginner.

THE COVID TAILWIND

India added 100M+ new DEMAT accounts in 2020-2022 - Groww was ready when the wave hit

Lockdown-era boredom, rising market indices, and social media FOMO drove a retail investing boom that no competitor was better positioned to capture. Groww's mobile-first, zero-friction model was built for exactly the demographic that came online: urban, 25-35, first investing experience.

MARKET POSITION

India's retail investing boom made Groww the default first app - and first impressions compound just like SIPs do

When 100M+ Indians opened DEMAT accounts between 2020 and 2022, Groww was the easiest app to use, the only one with zero mutual fund commissions, and the most downloaded on the Play Store. Being first in a user's investing journey creates a behavioral anchor that competitors struggle to break.

CATEGORY LEADERSHIP

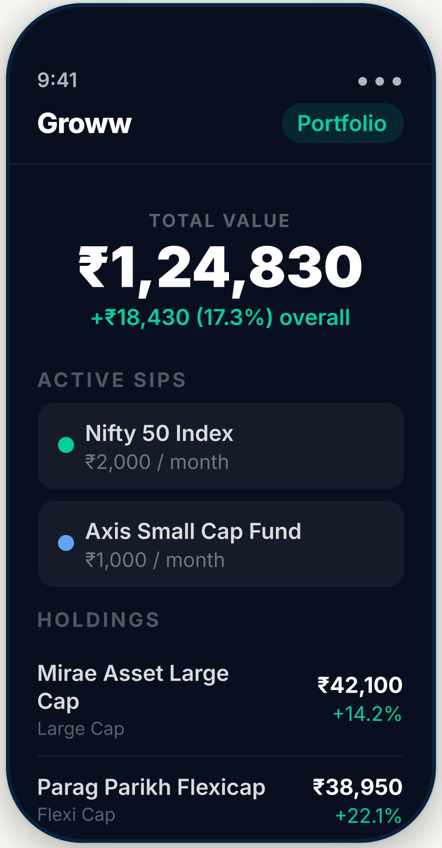
#1 by active mutual fund folios in India as of 2024

Groww surpassed Zerodha and established platforms in MF folios - a metric that reflects genuine, recurring investment relationships rather than one-time account openings. SIP investors are stickier than traders; they return every month by design.

THE COMPOUNDING ADVANTAGE

A user who starts their first SIP on Groww at 25 is unlikely to migrate at 35

Migrating an investment portfolio means redemptions, tax events, and re-KYC friction. Groww's early user acquisition created a moat that isn't obvious on the surface: inertia. The beginner user who started in 2020 is now a 6-year relationship with growing AUM and deepening product dependency.



ACT 02

The Trap

02

THE MONETIZATION GAP

40M registered users and most of them contribute almost nothing to brokerage - zero-commission MF investing is a user acquisition strategy, not a business model

Groww's headline user number is impressive. The revenue-per-user reality is not. The monetization model depends on users graduating from zero-brokerage SIPs into active trading - a journey most of them never make.

THE SIP USER

~₹0

Direct mutual fund SIP investors pay zero brokerage. Groww earns only trail commission from AMCs on regular plan AUM. A user doing ₹5,000/month SIP for 5 years generates roughly ₹250-500 in trail commission annually - earned across the entire relationship, not per transaction. This is the majority of Groww's registered user base.

THE F&O TRADER

₹20/order

An active F&O trader doing 30-50 orders per day generates ₹600-1,000 in brokerage per day. In a month of 22 trading days, that's ₹13,200-22,000 in revenue from a single user. One F&O power user generates what it takes hundreds of SIP investors to produce collectively in trail commissions. This is a tiny fraction of Groww's registered users.

THE MATH PROBLEM

Gap

The exact split between active traders and SIP-only users isn't disclosed publicly. But Zerodha - which has fewer registered users and a more trader-focused base - has been profitable for years while Groww's path to profitability remains tied to the question of how many of its 40M users ever make their first stock trade.

REGULATORY HEADWIND

SEBI's 2023 study found 9 out of 10 F&O traders lose money - and then SEBI made F&O trading harder in October 2024

Groww's revenue engine depends on retail participation in F&O markets. SEBI's own data showed this participation was largely harmful to retail investors. The regulator's response directly compressed Groww's primary monetization lever.

2023

SEBI study: 89% of individual F&O traders booked net losses in FY22

10 million individual traders in F&O segments. Average annual loss per F&O trader: ~₹1.1 lakh. Total retail losses in equity F&O: ~₹1.81 lakh crore in FY22. SEBI publishes findings and signals intent to regulate retail F&O participation.

Oct 2024

SEBI implements sweeping F&O reforms - directly hitting discount broker revenue

Minimum contract size raised to ₹15 lakh (from ₹5-10 lakh range). Weekly expiry options restricted to one per exchange. Upfront collection of option premium for buyers. Intraday position monitoring introduced. Effect: significant reduction in retail F&O trading volumes across all discount brokers.

2024-2025

Industry-wide F&O revenue compression follows the regulations

Zerodha, Upstox, Angel One, and Groww all reported or signaled lower F&O-linked brokerage revenues post-October 2024. The discount brokerage model - which built entire valuations on high-frequency retail F&O activity - faces a structural reset. This is the direct constraint on Groww's path to profitability.

COMPETITIVE LANDSCAPE

Zerodha is profitable with fewer registered users. The difference isn't features - it's that Zerodha's users actually trade.

The Indian discount brokerage race is about active client quality, not registered user count. Zerodha's bootstrapped path to profitability exposes the structural difference between Groww's user-acquisition model and a trading-revenue model.

GROWW

40M+ registered, largest by MF active folios

Zero MF brokerage. $3B valuation (2022). Strong in SIP and first-time investors. Trading features improving but still below Zerodha depth. F&O revenue under pressure post-Oct 2024 SEBI regulations. Path to profitability unclear.

ZERODHA

~7M active clients, bootstrapped and profitable

Built for active traders from Day 1. Kite platform: TradingView charts, GTT orders, advanced screeners. Annual profits reported consistently. Co-founder Nithin Kamath's transparency on margins sets the profitability benchmark for the sector.

ANGEL ONE

~5-6M active clients, listed and profitable

Traditional broker gone digital. Hybrid model (branches + app). SmartAPI for algo trading. Listed on BSE/NSE - public financials show consistent profitability. Heavy on research, advisory, and managed portfolios. Strong in Tier 2/3 cities.

UPSTOX

~3-4M active clients, Tiger Global-backed

Similar positioning to Groww. Backed by Tiger Global and Ratan Tata. Strong digital brand. Comparable trading features to Groww. Neither Groww nor Upstox has publicly disclosed profitability - both are in the same monetization race.

ACT 03

The Product

03

CORE PRODUCT

The beginner UX is genuinely excellent - portfolio analysis, category splits, and NAV history built for someone investing for the first time

Groww's mutual fund experience remains the best in class for first-time investors. Portfolio analysis with visual category splits, transparent NAV history, and an audit trail of all transactions - all without a financial advisor sitting in the middle taking a commission. This is where the product genuinely earned its reputation.

PORTFOLIO ANALYSIS

Visual category and company-split breakdown at a glance

Sector allocation, fund category split, company-level exposure, returns vs benchmark. Delivered in a clean mobile interface a beginner can understand. No Bloomberg terminal required. No advisor call needed. This is the product that generated 40M registrations.

FUND SWITCH FEATURE

Shift between funds within the same AMC - but full redemption still required

Groww's switch feature allows moving between funds managed by the same AMC without fully exiting the market. The gap: switching across AMCs still requires full redemption and re-investment, which can trigger exit loads and tax events. A product gap that creates real user friction at the intermediate stage.

FEATURE CEILING

The features that intermediate and expert traders need don't exist on Groww - and adding them risks breaking the simplicity that made Groww win

Groww's product is optimized for the beginner's first 12 months. When that beginner graduates - wanting advanced charts, screeners, GTT orders, and F&O analytics - the app can't serve them. They go to Zerodha. Groww acquired the user and Zerodha monetized them.

GROWW HAS

Basic charts, simple order types, category-split portfolio view

Market/limit orders, SIP setup, NAV history, portfolio analytics. Sufficient for the beginner who checks their portfolio once a week and adds to their SIP. The core mutual fund experience is genuinely best-in-class for this persona. The product is well-executed for its intended user.

GROWW LACKS

Advanced charting, GTT orders, stock screener, basket orders, F&O analytics

Zerodha Kite: TradingView integration, 100+ indicators, Good-Till-Triggered orders, basket orders, Sensibull F&O analytics integration. Intermediate users researching individual stocks or trading options hit Groww's ceiling quickly. The gap isn't small - it's the difference between a beginner tool and a trader's platform.

THE DESIGN TENSION

Adding expert features risks cluttering the clean UI that beginners love

Groww's UX moat is simplicity. Every advanced feature added is a decision about whether to show it to beginners (confusing them) or hide it behind progressive disclosure (adding complexity). The tension: the users who generate revenue want features the product resists adding, and the users the product is built for don't generate revenue.

USER PAIN POINTS

Three user personas, one simplified product - the beginner is served, the intermediate is stuck, the expert has already left

Groww's three-persona reality (beginners, intermediate traders, expert traders) is served by a product that was designed almost exclusively for the first group. The product has improved over time, but the gap between personas is structural - not a sprint away.

BEGINNER - SERVED WELL

First SIP in 3 minutes. Portfolio in a glance. KYC fully digital.

The beginner experience is what built 40M users. Clear, jargon-free, zero friction. Pain point: beginners who get comfortable eventually want to explore individual stocks, and the hand-holding ends abruptly. There's no guided "next step" from SIP to direct equity investing built into the product.

INTERMEDIATE - UNDERSERVED

Wants screeners, advanced charts, GTT orders - hits walls at every turn

Self-taught investors who understand tracking error, expense ratio, and Sharpe ratio want tools to make better decisions. Groww's stock search is basic. Charts lack technical indicators. Order types are limited. The intermediate user is Groww's largest untapped monetization opportunity - and currently its largest migration risk to Zerodha.

EXPERT - ALREADY GONE

Expert F&O traders don't use Groww as their primary platform

The expert who trades F&O at scale, uses basket orders, needs Sensibull integration, and requires ultra-low latency execution is on Zerodha Kite or a dedicated platform. Groww may have their MF portfolio as a secondary account, but their primary trading revenue goes elsewhere. This is the persona Groww needs most and has done least to retain.

ACT 04

Escape Attempts

04

THE PLATFORM BET

Groww Pay and neobanking are the right direction - if users trust Groww with their investments, the savings account is the logical next step

Groww's strategic bet is becoming a financial operating system - not just an investment app. The neobanking pivot would unlock daily-use touchpoints that investing alone can't provide: UPI payments, salary credits, and idle-cash optimization.

GROWW PAY - UPI INTEGRATION

UPI payments linked to the investment account

Groww Pay allows UPI transactions directly from the Groww ecosystem. The strategic intent: create daily-use touchpoints beyond monthly SIP dates. A user who checks Groww only on SIP day has low engagement. A user paying rent, splitting bills, and checking returns from the same app has deep platform dependency.

NEOBANKING AMBITIONS

Savings account, debit card, and FD sweep as bundled offering

Groww has signaled intent to launch a full neobanking product - savings account, debit card, and automatic FD sweep for idle cash. This would put Groww in direct competition with Jupiter, Fi Money, and eventually traditional banks. The value proposition: your bank account, where your money automatically works harder through investments.

THE CHALLENGE

Neobanking requires an RBI banking licence or a deep bank partnership

Operating a savings account requires either an RBI Payment Bank licence (highly restrictive - max ₹2 lakh balance, no credit) or a partnership with a scheduled commercial bank. The regulatory path is slow. Jupiter and Fi Money took years to build the bank partnership layer. Groww is replicating a complex path, not pioneering one.

HORIZONTAL EXPANSION

Gold, US stocks, and fixed deposits expand wallet share but don't solve the core monetization problem - they're zero-commission products added to a zero-commission platform

Groww's product expansion playbook has been consistent: add an asset class, make it zero-fee or minimal-fee, grow the user base. The approach works for acquisition. It doesn't change the underlying unit economics.

DIGITAL GOLD

Buy/sell 24K gold in amounts as small as ₹1 - no transaction fee

Groww earns the spread between buy and sell price on digital gold (typically 0.5-1%). It's a real revenue line but modest at scale. More importantly, digital gold appeals to the same first-time, small-ticket investor that Groww's MF product already serves - horizontal expansion to the same user, not a new revenue user.

US STOCKS

Fractional US stocks via LRS route - targets the aspirational young investor

Groww enables US stock investing through the Liberalised Remittance Scheme. Small fee per remittance plus conversion spread. Appeals to users who want to own Amazon or Apple. The TAM is smaller than domestic equities in India and subject to RBI LRS limits (USD 250,000 per year). A good retention tool; not a revenue transformation.

FIXED DEPOSITS

Partner bank FDs on the Groww platform - referral commission model

Groww aggregates FD offerings from partner banks and NBFCs, earning a referral fee per FD opened. This is genuinely useful for users who want a single app for all financial products. The commission structure is opaque but meaningful. Risk: users who choose FDs over equity are explicitly lower-risk users who are less likely to trade - compounding the monetization mismatch.

CREDIT PLAY

Groww Credit is the highest-margin product - and the most dangerous one for a platform built on trust with first-time investors

Lending is where the real fintech margins are. Margin trading and loan against securities are logical next steps for users with investment portfolios. But credit products for financially inexperienced users carry reputational risk that Groww's brand cannot easily absorb.

MARGIN TRADING FACILITY (MTF)

Borrow to buy stocks - interest income plus increased trading volume

MTF lets users buy more shares than they can afford by borrowing from Groww against existing holdings. Revenue: interest on borrowed capital (typically 12-18% per annum) plus higher order value means higher brokerage. The risk: users who lose on leveraged positions suffer compounding losses. SEBI's F&O study suggests Groww's core users are disproportionately loss-prone already.

LOAN AGAINST SECURITIES

Borrow cash against your MF/stock portfolio - the best-margin product for Groww

Users pledge their existing holdings (MFs, stocks) as collateral for a cash loan. Interest rates: 10-15% per annum. This is genuinely useful - users avoid selling good investments during a cash crunch. For Groww, it's a sticky, high-margin product where the underlying collateral (the user's portfolio) already sits on the platform. No credit acquisition cost.

THE TRUST TENSION

Groww's brand is financial empowerment - debt products require a different narrative

Groww built its brand on "investing is for everyone" - democratizing access to wealth creation. Introducing credit products to users who are still learning the basics of equity investing requires careful positioning. The line between useful leverage and predatory lending is thin when the target user base includes financially inexperienced first-time investors.

ACT 05

The
PM Take

05

MOVE 1 - 60 DAYS

Build the SIP Graduation Path - guide MF-only users toward their first direct equity investment using portfolios they already own

Groww has the data to know which users have been investing for 12+ months and hold no direct stocks. This is the most immediate conversion opportunity: users already comfortable with Groww, already financially engaged, already ready for the next step - who are just not getting a nudge.

WHAT TO BUILD

"You already own these stocks" - surface direct equity via the MFs they hold

A user who holds Nifty 50 Index Fund already has indirect exposure to HDFC Bank, Reliance, TCS. Build a "What's inside your funds" feature that shows the top 10 stock holdings across all their MFs. Then add: "Want to own HDFC Bank directly?" with a one-tap SIP-to-stock conversion flow. No new ML needed - this is existing portfolio data, new presentation layer.

THE NUDGE DESIGN

Contextual prompts, not email blasts - show the path inside the investing moment

When a user checks their MF portfolio on a day the market is up, surface: "Your top fund is up 2.4% today. The biggest contributor was HDFC Bank (+3.1%). Here's how to own it directly." This connects the existing behavior (checking portfolio) to the desired action (first stock purchase) without changing the mental model - just extending it.

WHY IT WORKS

MF-to-stock conversions: first brokerage revenue from previously zero-revenue users

The first direct equity SIP from a formerly MF-only user generates real brokerage: ₹20 per buy order, ₹20 per sell. If 5% of 20M MF-only users make one stock trade per month, that's 1M orders x ₹20 = ₹2 crore/month in incremental brokerage. Primary KPI: MF-only user to first stock trade conversion rate within 90 days of feature launch.

MOVE 2 - 3-6 MONTHS

Launch Groww Pro at ₹499/month: advanced charts, GTT orders, stock screener - stop giving Zerodha the intermediate user for free

Every intermediate user who migrates to Zerodha is a user Groww acquired through zero-brokerage MF investing and handed to a competitor at the exact moment they became revenue-generating. Groww Pro retains that user and finally monetizes them.

PRO FEATURE SET

Advanced charting, GTT orders, screener, F&O analytics

TradingView-style charts with technical indicators. Good-Till-Triggered orders. Stock screener with PE, market cap, and sector filters. F&O open interest and PCR data. Table-stakes for any intermediate trader - Groww's current gap vs Zerodha.

REVENUE MODEL

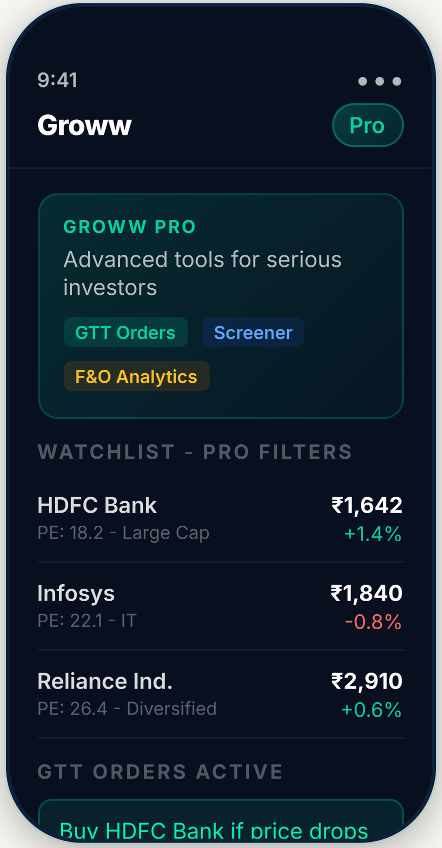
₹499/month + retained traders = more ₹20 brokerage orders

Subscription revenue is secondary. The primary effect is keeping intermediate users on Groww. 1 lakh Pro subscribers doing 10 trades/month = ₹2 crore/month in brokerage plus ₹5 crore in subscription. The real win is the prevented migration to Zerodha.

DESIGN PRINCIPLE

Progressive disclosure - show locked Pro indicators, don't hide features

A locked "Pro" badge next to advanced features lets beginners ignore it and intermediate users discover the upgrade path. Don't change the free experience - extend it. The beginner UX stays clean; the ceiling becomes visible only when users are ready to hit it.



MOVE 3 - 12-18 MONTHS

Make Groww the primary salary account - every paycheck becomes an auto-invest trigger, and idle cash earns inside the investment ecosystem

The neobank ambition is right, but the sequencing matters. Don't build a general-purpose bank. Build the specific bank account that is uniquely better than any other bank account - because it automatically puts your salary to work in investments the moment it arrives.

SALARY ACCOUNT + AUTO-INVEST

Salary credited. SIP deducted instantly. Remainder in liquid fund by end of day.

Partner with a scheduled commercial bank. Build a Groww savings account where the user pre-sets: salary comes in, SIP is deducted first, the remainder sweeps to a liquid mutual fund earning 6-7% instead of sitting in a savings account at 3.5%. This is not a banking product - it's an investment product wearing banking clothes. Unique to Groww because only Groww has the investment infrastructure.

THE DAILY TOUCHPOINT

UPI payments, bill splits, and rent from the investment account - daily use creates daily loyalty

A user who checks Groww once a month on SIP day has low engagement. A user who pays rent, splits dinner bills, and tracks their mutual fund returns from the same app has 20+ monthly sessions. More sessions mean more opportunities to show Groww Pro CTAs, graduation path nudges, and loan-against-securities offers at the right moment. The banking integration is an engagement product as much as a revenue product.

THE REVENUE OUTCOME

Interest income on FD sweep + higher engagement = compounding monetization

Idle cash in liquid funds earns Groww trail commission. Loan-against-securities becomes natural when users see their balance and portfolio in the same view. More sessions from daily banking activity drives more trading (brokerage). The neobank account is not a single revenue stream - it's a multiplier on every existing revenue stream. This is why every Indian fintech wants it.

FINAL SYNTHESIS

Groww's problem isn't competition from Zerodha.
It's that their best users generate the least revenue.

SIP Graduation Path - 60 days | Groww Pro tier - 6 months | Neobank salary account - 18 months

Groww has 40M users, India's largest MF folio base, and the best beginner investing experience in the country. None of that generates meaningful brokerage. The users who SIP every month love the product but pay nothing for it. The users who generate real revenue are a small minority - and SEBI just made it harder to acquire more of them through F&O. The three moves above are a sequenced graduation path: convert the SIP user to a stock investor, retain them with Pro tools when they grow, and make Groww the bank account that keeps them inside the ecosystem permanently. A PM who understands both the user love and the monetization gap is exactly who Groww needs at this inflection point.